Forum:	Economic and Social Council (ECOSOC)
Issue:	Addressing the issue of economic implications of illegal oil transfers in the South China Sea
Author:	Ilias Romanos Sporidis
Position:	Deputy President

Personal Introduction

My name is Ilias-Romanos Sporidis, and it is my pleasure and a great privilege to serve as the Deputy President of the Economic and Social Council for the first edition of the Moraitis Model United Nations conference. At the time of the conference, I will be 16 years old attending the 11th grade of the German School of Athens. Ever since I joined MUN in the 8th grade I have very much enjoyed every single conference I have attended and am always greatly interested in geopolitical matters and how economic circumstances influence such matters and the populations of each respective state. As a Deputy President on the Economic and Social Council I have every intention of assisting in creating a friendly environment in the committee and elevating the cooperative spirit of the delegates. I believe that the functions of the committee can be carried out properly without abandoning the enjoyment and laughter that the conference brings. I am excited to meet all of you during the conference and wish you good and productive studying of the topics and their study guides.

Introduction

Since the Industrial Revolution, oil trade and its market have played an undeniably important role in the development of nations. Countless wars have been fought over this precious "Black Gold" and all of its uses. Therefore, it is no secret that the illicit trade of such material is a common practice in the global scene. The largest oil reserves in the world belong to Venezuela, but other oil-rich countries, such as Russia, Saudi Arabia and Norway have used their oil exports to generate great amounts of profits for their states. As such, when oil-related sanctions are being implemented on major oil-exporting countries, governments of such nations will try to find measures to evade sanctions and recover lost revenue.

Major sanctions regimes affect nations such as Russia and Iran, which are close geopolitical allies with the People's Republic of China. Due to this partnership, these nations can divert their oil exports to the PRC by the usage of their dark, or shadow fleets and passing through the South China Sea, a geopolitically important and hotly contested body of water. With escalations in the Strait of Hormuz and the disruption in global energy and oil supplies, the problem of oil transports subject to sanctions by shadow fleets has increased dramatically.

The Economic and Social Council (ECOSOC) addresses international economic and social challenges and makes recommendations to Member States. As such, delegates in ECOSOC must analyze the economic and social concerns regarding the topic with which they are presented and cooperate to establish recommendations and solutions to the problem, while finding consensus between delegations.

Key Terms and Definitions

Dark Fleet

A Dark or Shadow Fleet is a network of ships that often obscure their ownership or operations and may evade safety regulations and applicable sanctions. They often transport goods subject to sanctions.

Sanctions

Sanctions are restrictions, mostly in a country's ability to conduct foreign trade, implemented by states or international bodies in response to specified conduct. Their purpose is to influence the country's policy direction in accordance with international norms. [1]

[1] "What are sanctions?" *Government Offices of Sweden*, www.government.se/government-policy/foreign-and-security-policy/international-sanctions/what-are-sanctions/#content.

Embargo

An embargo is an official restriction on trade with a targeted country or on specified goods. It can be imposed for economic or foreign-policy reasons and does not necessarily sever diplomatic relations.

Offshore companies

An offshore company has its headquarters outside of the birth country of its creators or owners and/or outside of the area hosting most of its operations. Offshore companies may register abroad for tax, regulatory or commercial purposes, preferably to nations with favourable taxation policies for corporations.

Automatic Identification System (AIS)

The AIS is used in the world of maritime travels, including maritime commercial shipping, in order to identify and track participating vessels. Under IMO requirements, AIS became mandatory for specified classes of ships, including passenger ships and many larger commercial vessels, by the end of 2004. [2]

Background Information

History of global oil sanctions

Iran

After the end of WW2, Iran was operating under a form of constitutional monarchy, with the Shah Mohammad Reza Pahlavi of Iran having limited power over the country's politics. Prime Minister Mohammad Mossadegh, as a culmination of Iranian nationalism after WW2, nationalized the Anglo-Iranian Oil Company (AIOC), which was owned in its majority by the British and held a complete monopoly over Iranian oil production, giving the British government indirect control over Iran's oil reserves. The newly elected United States President, Dwight Eisenhower, in cooperation with British Prime Minister Winston Churchill, organized operations with their country's secret services to overthrow Mossadegh and bring the AIOC back to private ownership. This plan, after some initial failures, worked. Following the ousting of Mossadegh in 1953, the Shah of Iran consolidated his power, and a new consortium of mostly British and American companies was formed to operate Iran's oil industry. The former AIOC became British Petroleum.[3]

As the authoritarian governance of the Shah worsened the humanitarian situations by the late 1970s increasing public unrest led to great political instability. Western countries continued to support the

[2] Kontas, V. (2025, March 5). *What is the automatic identification system (AIS)?* MarineTraffic. https://support.marinetraffic.com/en/articles/9552859-what-is-the-automatic-identification-system-ais

[3] James M. Lindsay. (2026, August 19). *The 1953 Overthrow of Iranian Prime Minister Mohammad Mosaddeq*. Council on Foreign Relations. https://www.cfr.org/articles/the-1953-overthrow-of-iranian-prime-minister-mohammad-mosaddeq

monarchy for much of this period, while increasing public unrest made a change in leadership more likely.[4] Such change occurred in 1979, led by the Islamist leader Ruhollah Khomeini. This instance, known as the Iranian revolution, directly led to the Iranian hostage crisis, when Iranian revolutionaries stormed the U.S. embassy in Tehran and captured multiple US diplomats. It further led to the global oil crisis, when, because of panic due to the instabilities in Iran, massively decreased internal oil production due to widespread strikes and a sudden demand for oil increased oil prices in the global markets rapidly, as people were attempting to store the oil. The US was severely affected by the crisis and an economic recession, known as "Stagflation"[5] ensued. US President Jimmy Carter imposed an embargo on Iran and froze all of Iran's assets in the US, as a reaction to the hostage crisis, which worsened the fuel shortages internally. The Organization of Petroleum Exporting Countries (OPEC) officially increased their prices, solidifying the crisis. Following the negotiations with the Carter administration in the US, the hostages were released just hours after the newly elected US President Ronald Reagan was inaugurated in 1981. [6]

The Reagan administration imposed further sanctions against Iran, in particular against Iran's policy direction of state-sponsored terrorism, including an embargo on Iranian imports to the US in 1987, further isolating the country from global commercial trade, and also maintaining an embargo of all arms imports from Iran. Despite this, the Reagan administration secretly sold weapons to Iran, which, when uncovered by the news, turned into a major scandal, known as the "Iran- Contra Affair". The Clinton administration imposed further trade restrictions on Iran during the 1990s. In 1996 and 1997, President Bill Clinton signed embargos ending all of bilateral trade between the two countries. The administration also initiated "secondary sanctions" on Iran, discouraging foreign investors and individuals from conducting business of any kind with Iran by restricting their access to the US market, the largest globally. Concerns about Iranian nuclear activities intensified in the early 2000s, after the 9/11 attacks. US President George Bush included Iran, together with North Korea and Iraq in the "Axis of evil", a collection of countries that sponsored terrorism, attempted to develop weapons of mass destruction and undermined democracy globally. The United Nations Security Council approved various sanctions on Iranian trade after compliance with proper monitoring of Iranian nuclear development by the UN were not met by the Iranian authorities.

Iranian nuclear development continued in the 2010s despite international condemnation. International sanctions against Iran during this period focused on limiting Iranian oil trade, which was the greatest revenue source for the Iranian regime, and discouraged the further development of their nuclear programme. As a reaction, Tehran developed "shadow fleets" in order to transport their

[4] Janet Afary. (2026, August 24). *Wartime and nationalization of oil*. Britannica. https://www.britannica.com/place/Iran/Wartime-and-nationalization-of-oil

[5] Dziak, Mark. (2022). *Stagflation*. EBSCO. https://www.ebsco.com/research-starters/economics/stagflation

[6] Janet Afary. (2026, July 27). *Iranian Revolution*. Encyclopedia Britannica. https://www.britannica.com/event/Iranian-Revolution

petroleum exports bypassing the sanction. In 2015, Iran and the P5+1 concluded the Joint Comprehensive Plan of Action (JCPOA), or Iran Nuclear Deal, which provided for relief from specified nuclear-related sanctions in exchange for restrictions on Iran's nuclear programme and international verification.

Under President Donald Trump, the US withdrew from the Iran Nuclear Deal and most of the sanctions were reinstated, as Iranian capabilities to evade these sanctions resumed through the country's shadow fleet. Despite signaling the intention to rejoin the Iran Nuclear Deal, US President Joe Biden never came to an agreement with Tehran. As the Iranian shadow fleet kept operating and improving its capabilities during the early 2020s, the Biden administration imposed further sanctions, specifically targeting Iran's shadow fleet's vessels and related entities. [7]

On 28 February 2026, the US-Iran war erupted, following US and Israeli air strikes against Iran. The conflict was followed by serious restrictions and disruptions to shipping in the Strait of Hormuz, one of the most important maritime points for global oil trade, in an effort to eliminate Tehran's revenue from Iran's oil trade. Iranian shadow fleet vessels continued to export illicit oil to China, as the war with the US intensified. Though, despite a relatively short- lived ceasefire between the two countries, when the Strait continued operations, Iranian exports to China, including through its shadow fleet, have faced significant disruption, particularly as the US imposed further sanctions on identified vessels of the fleet. [8] US Secretary of the Treasury, Scott Bessentt announced in late August of 2026 that the US would be imposing harsh secondary sanctions on any parties that do not cease conducting commercial relations with Iran, including the exclusion of banks that do not comply within a certain timeline of the US Dollar financial system.

Russia

Under the Union of Soviet Socialist Republic's (USSR) centralization and communist policies, the Union's oil industry was completely controlled by the central government in Moscow. After the Soviet Union collapsed in late 1991 and the new country of the Russian Federation followed an economic liberalization policy under President Boris Yeltsin the oil industry of the country was privatized in a complicated and uncoordinated effort that partially contributed to a recession in the 1990s. The oil industry of the Federation quickly came back into de facto state control after the accession of Vladimir Putin to the presidency of Russia following the resignation of Yeltsin, with

[7] Doina Chiacu, Susan Heavey and Florence Tan. (n.d.). *US deepens sanctions on Iran's 'shadow' oil fleet*. Reuters.com. https://www.reuters.com/world/us-deepens-sanctions-irans-shadow-oil-fleet-2024-12-03/

[8] Office of the Spokesperson. (2026, February 10). *Sanctions to combat illicit traders of Iranian oil and the shadow fleet*. United States Department of State. https://www.state.gov/releases/office-of-the-spokesperson/2026/02/sanctions-to-combat-illicit-traders-of-iranian-oil-and-the-shadow-fleet

many major oil companies' majority stock owners becoming the Russian government and close political allies of Putin taking executive roles in such companies.[9]

As Russo- European relations increased in the 2000s, so did European imports of energy, including oil, from Russia. Under Chancellor Angela Merkel, Russian energy exports to Germany grew significantly with Russia. After Russian forces invaded the Crimean Peninsula in 2014, the US and EU imposed sanctions on Russian individuals and entities, undermining democracy in Ukraine, as well as certain sanctions on oil technology and the Russian oil trade. [10]

After the start of the Russo- Ukraine war in 2022, Russia became subject to extensive sanctions, and heavy restrictions were put on Russian oil exports to Europe by the EU. The sanctions targeted, in total, more than 90 percent of European oil imports from Russia and imposed major trading restrictions to the Russian energy sector. The Russian government seeks to replace the lost revenue of their oil exports to Europe through increased petroleum exports to Asia, and particularly China. In order to bypass international sanctions, the Kremlin utilized Russia's extended shadow fleet, which reportedly consists of hundreds of vessels for their oil exports to Asia. Russian-linked vessels have also raised concerns about possible hybrid activities against European underwater operations in the Baltic Sea.[11]

Venezuela

Venezuela holds the largest oil reserves globally [12] and the country has a long history of economic dependence in its oil exports for government revenue since the discovery of oil in the country in the early 20th century. Under the socialist governance of President Hugo Chavez, the fiscal responsibilities of the Venezuelan state became more dependent on the country's state-owned oil company PDVSA due to Chavez's expanded social anti- poverty programmes. [13]

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[9] Bilodeau, Jason Michael. (2016). *Resource revanchism : The privatization and renationalization of the Russian oil industry*. TSW :. https://repositories.lib.utexas.edu/items/692d08c0-0c90-407e-be31-813fe87a3923

[10] *Inducing New Bilateral Oil Interdependencies: The Unintended Impact of 2014 US-led Sanctions on Russia*. (n.d.). Air University (AU). https://www.airuniversity.af.edu/JIPA/Display/Article/3371580/inducing-new-bilateral-oil-interdependencies-the-unintended-impact-of-2014-us-l/

[11] *Russia's shadow fleet presents a sustained hybrid war threat at sea*. (May 22). ACLED. https://acleddata.com/report/russias-shadow-fleet-presents-sustained-hybrid-war-threat-sea

[12] Haddad, M. (2025, September 4). *Venezuela has the world's most oil: Why doesn't it earn more from exports?* Al Jazeera. https://www.aljazeera.com/news/2025/9/4/venezuela-has-the-worlds-most-oil-why-doesnt-it-earn-more-from-exports

[13] Ponce, J. C. (2026, January 12). *Five keys to understanding Venezuela's oil history » Yale climate connections*. Yale Climate Connections. https://yaleclimateconnections.org/2026/01/five-keys-to-understanding-venezuelas-oil-history/

After the death of Chavez in 2013 and the decline of global oil prices beginning in 2014, [14] the Venezuelan economy collapsed under Chavez's successor,[15] Nicolas Maduro. Sanctions against Venezuela have been implemented since the 2000's by the Bush administration in response to specified actions and policies of Venezuelan officials and authoritarian administration. Various sanctions, including in Venezuela's oil industry were implemented in the following years by continuous US Presidents, due to the country's shift towards authoritarianism.[16]

In 2025, during increasing tensions between the US and Venezuela, the Trump administration of the United States imposed a campaign of maximum pressure against the Maduro regime. Under this campaign, the US placed heavy trade restrictions on Venezuelan oil exports. [17]As a reaction, the Venezuelan shadow fleet increased its transports of illicit oil, while passing through the Panama Canal. The vessels, often "going dark" when passing through the Panama Canal, largely transported their sanctioned oil to China. Though, after the capture of Maduro in 2026 and the imposition of an oil blockade by the US, the country's shadow fleet's operations have been severely disrupted amid political uncertainty and heightened enforcement. Certain ships are reportedly travelling to Iran or China under foreign or no flags and the US has sanctioned and captured many of those vessels. [18] [19]

Democratic People's Republic of Korea (DPRK)

The modern North Korean state, following Japanese occupation from 1905 until 1945 and Soviet occupation, from 1945 until 1948, after the Japanese surrender to the Allies and the end of WW2, was formed in 1948, and has been ruled by the Kim family until today. The family, which established a totalitarian regime over the country, have implemented the autarkic ideology of Juche throughout their years of governance. Under this ideology, the country has limited commercial interaction with the rest of the global trading system in an effort to establish complete self-reliance from the rest of the world. Despite this policy approach, North Korea has found itself increasingly reliant on the PRC for

[14] *Crude oil prices (1946-2025)*. (n.d.). Macrotrends | The Long Term Perspective on Markets. https://www.macrotrends.net/1369/crude-oil-price-history-chart

[15] *Venezuela inflation rate*. (n.d.). TRADING ECONOMICS | 20 million INDICATORS FROM 196 COUNTRIES. https://tradingeconomics.com/venezuela/inflation-cpi

[16] *U.S. reimposes oil sanctions on Venezuela as hopes for a fair presidential election fades*. (2024, April 17). PBS News. https://www.pbs.org/newshour/world/u-s-reimposes-oil-sanctions-on-venezuela-as-hopes-for-a-fair-presidential-election-fades

[17] Mike Schuler. (2026, January 2). *U.S. Targets Venezuela's Shadow Fleet in Final 2025 Sanctions Blitz on Maduro Regime*. gCaptain – Maritime News. https://gcaptain.com/u-s-targets-venezuelas-shadow-fleet-in-final-2025-sanctions-blitz-on-maduro-regime/

[18] *US blockade has left Venezuela shadow fleet in limbo*. (n.d.). Lloyd's List. https://www.lloydslist.com/LL1156035/US-blockade-has-left-Venezuela-shadow-fleet-in-limbo

[19] Alanna Durkin Richer, Associated Press. (2026, February 27). *US moves to claim tanker and 2M barrels of seized Venezuelan oil*. PBS News. https://www.pbs.org/newshour/politics/us-moves-to-claim-tanker-and-2m-barrels-of-seized-venezuelan-oil

the prime destination for their exports, as China accounts for the overwhelming majority of North Korea's recorded foreign trade. [20]

It was under this ideology, that General Secretary of the Workers' Party of Korea Kim Jong Il conducted the first tests of North Korean ballistic missiles, in an effort to assert North Korea's international perception as a completely independent state, in particular after it was among the nations of US President Bush's "Axis of Evil". The UNSC adopted sanctions responding to North Korea's nuclear and missile programmes and failure to comply with proper monitoring mechanisms, as well as presenting a threat to global peace and security.

In 2017, following further North Korean tests of ballistic missiles the UNSC implemented an array of sanctions, targeting the DPRK's energy trade and, in particular, oil imports, which capped refined petroleum imports at 500,000 barrels per year, while setting a separate limit for crude oil, in an attempt to severely damage the Kim regime's ability to develop nuclear weapons, as these restrictions were intended to constrain the country's access to fuel. US President Donald Trump signaled his intent to push North Korea into a path of denuclearization as he became the first US President to meet with a leader of North Korea in a surprise summit in Singapore. Despite initial optimism, hope and further meetings, including Trump's brief entrance into North Korea, becoming the first US President to do so, negotiations collapsed by 2019. [21]

The North Korean state has vitalized the capabilities of its shadow fleet and ship- to- ship transfers with Chinese vessels in order to bypass the limits on its oil imports. Since the 2020s, North Korean petroleum shipments have repeatedly been reported to exceed the applicable limits, set by the UNSC. [22]This presents a great security risk to the wider region, as North Korea continues to conduct ICBM tests. Most recently, President Trump has once again, signaled his intention to meet with Kim- Jong Un, in order to finalize their talks, though no summit has been organized yet.

Common ways with which illegal oil shipments escape international sanctions

Falsifying ship registrations

The falsification of vital registrations about a maritime vessel is an incredibly common way with which dark fleets operate outside of the international maritime network. Specifically, ships and oil tankers that operate in a shadow fleet turn off their AIS, in order to evade from the international identification system, or they may manipulate identification information and are normally, ready to

[20] Daniel Workman. (n.d.). *North Korea's top trading partners 2025*. World's Top Exports — Trade metrics that inspire global thinking. https://www.worldstopexports.com/north-koreas-top-import-partners/

[21] Justin McCurry. (2025, August 26). *Handshakes and hope but little progress: A short history of Trump-Kim summits*. the Guardian. https://www.theguardian.com/world/2025/aug/26/donald-trump-kim-jong-un-north-korea-summits-a-short-history

[22] Steven Bernard, Dan Clark, Sam Joiner, and Caroline Nevitt. Additional development and design by Justine Williams and Irene de la Torre Arenas. (n.d.). *Inside North Korea's oil smuggling: Triads, ghost ships and underground banks*. Redirect to... FT visual journalism. https://ig.ft.com/north-korea-oil-smuggling/

be sold to scrapyards. Captains of such ships also order their crew to physically scrape a name to their ship, which previously belonged to another destroyed, or otherwise, discontinued vessel, in order to pass unnoticed local authorities.[23]

Change in flags

Many dark fleet ships change their flag register from the home country of the vessel, to another country's flag throughout their trips without proper authorization. Shadow ships conduct such change, mostly because their home county is heavily sanctioned by the international community and many trade restrictions were implemented against the commercial capabilities of the state in question. By changing flag registrations the ship can pass local clearances and dock into a foreign, otherwise unauthorized port to offload its cargo. Most recently, Iranian and Russian cargo ships, including oil tankers have been changing their flag registration in order to continue trading oil subject to sanctions without the detection of their heavily sanctioned home country. [24]

Ship-to-Ship Transfers (STS)

STSs require two separate transporting vessels. One of them is transporting the cargo that requires transferring and the other's storage facilities are empty, ready to receive the cargo. During the process, the cargo, like oil for oil tankers, is transferred from one ship to the other. The second ship then continues its route to its destination. [25] STSs can be used for illicit oil transfers, although ship-to-ship transfers are also legitimate commercial operations, as the secondary ship can transfer sanctioned oil from an initially sanctioned vessel or country, to other international ports in order to sell the sanctioned oil and evade international sanctions.

Timeline of Events

Date	Description of Event
21st February 1972	US President Richard Nixon visits the People's Republic of China with hopes of opening the country to the international market after 25 years of isolation. Although Nixon originally hoped that an improvement of Sino- American relations would ease the Vietnam War, the visit marked the beginning

[23] Cichen Shen, Tomer Raanan. (2025, June 5). *US-blocked VLCC Jaya skirts sanctions with scrapped ship masquerade*. Lloyd's List. https://www.lloydslist.com/LL1153764/US-blocked-VLCC-Jaya-skirts-sanctions-with-scrapped-ship-masquerade

[24] *What Is a False Flag Vessel, and Why Is the Problem Growing?* (2023, August 23). WINDWARD MARITIME AI™. https://windward.ai/blog/what-is-a-false-flag-vessel-and-why-is-the-problem-growing/

[25] *Ship-to-Ship Transfers: Your Practical Guide to Fuel Transfer Operations*. (2025, July 17). Ship-To-Ship Transfers. https://shiptoshiptransfers.com/

	of China opening its market to the rest of the world and joining the global commercial trading system. [26]
17th October 1973	Arab oil-producing states announced an embargo of oil to all countries supporting Israel during the Yom Kippur War. The armed conflict erupted about a week before the sanctions, when Syria and Egypt launched a surprise invasion of Israel during the Jewish Holiday of Yom Kippur . Oil prices in the United States, where President Nixon had requested the Congress to appropriate billions of Dollars in support to Israel due to the war, nearly quadrupled in a few months. Although the embargo was eventually lifted, the high prices remained, contributing to the upcoming Stagflation. [27]
11 February 1979	The monarchy of Shah Mohammad Reza Pahlavi collapsed during the Iranian Revolution, bringing Ayatollah Khomeini to power; the Iranian hostage crisis began later that year. Due to the internal instability of Iran, global oil prices increased significantly and in the United States fuel shortages started across the country, as well as an economic crisis, known as Stagflation.
1980's	The first widespread use of shadow fleets began in the early 1980s during the Apartheid regime in South Africa. Because of the Apartheid's racist and segregationist policies, OPEC member states had issued a voluntary oil embargo to South Africa, which greatly reduced South African oil imports. After the Shah of Iran, the last major petroleum producing country that hadn't joined in the sanctions, was overthrown the new Ayatollah government joined OPEC in imposing an embargo against South Africa. Thus, Pretoria examined various sanctions evasions techniques though their shadow

[26] Ken Hughes. (2023, March 21). *Nixon on China*. Miller Center. https://millercenter.org/the-presidency/educational-resources/nixon-china

[27] Corbett, M. (n.d.). *Oil shock of 1973-74*. Federal Reserve History. https://www.federalreservehistory.org/essays/oil-shock-of-1973-74

	fleet, allowing them to keep importing certain amounts of oil. [28]
29th October 1987	US President Reagan signed, through an executive order, a total embargo on all Iranian imports of goods and services to the States. The order impacted Iranian trade and further isolated the country from the international market.
6th August 1990	The UNSC imposed a total embargo on most Iraqi exports due the country's invasion and illegal annexation of Kuwait initiated by Iraqi President, Saddam Hussein. As the embargo included Iraqi oil exports, it had a damaging effect on the country's already unstable humanitarian situation. In the following years, attempts to ease sanctions of Iraqi oil exports were made, in order for the Iraqi government to supply devastated areas of the country with humanitarian assistance from the profits of their oil exports.
15th March 1995	US President Bill Clinton signed an executive order prohibiting any US person or persons and any US entity from investing in Iran's oil industry. Further sanctions would be imposed in the following months, including an embargo on all bilateral trade between the two parties.
14th July 2015	The JCPOA, also known as the Iran nuclear deal, was signed in Vienna, Austria and included the relief from specified nuclear-related sanctions on Iran, including on its oil and energy sector, for Iranian reduction of its nuclear capabilities and compliance with international monitoring mechanisms.
8th May 2018	The United States, under President Donald Trump, withdrew from the Iran nuclear deal, and reimposed most of the sanctions in Iran. These actions constituted the JCPOA ineffective and Iran resumed exports of oil with the usage of their shadow fleet to China, passing through the South China sea.

[28] Mulder, N. (2025, October 17). *The deep history of the shadow fleet*. Weltinnenpolitik | Nicholas Mulder | Substack. https://weltinnenpolitik.substack.com/p/the-deep-history-of-the-shadow-fleet

26th September 2022	Explosions in the Nord Stream gas pipelines damaged three of the four pipeline strings. The explosions occurred amid Europe's shift away from Russian energy imports following Russia's invasion of Ukraine in 2022.
3rd January 2026	Venezuelan President Nicolas Maduro was captured by US forces, together with his wife, and moved to the US. The sudden change in leadership and initial vacuum of power led to the disenfranchising of Venezuela's shadow fleet and the disruption of its operations and oil transports to the PRC.
28th February 2026	The war in Iran begins, with missiles fired from US and Israeli bases, targeting Iranian infrastructure, including the country's nuclear facilities. Subsequent maritime disruptions in the Strait of Hormuz affected oil transport, including shadow-fleet operations as it transferred illicit oil to China, through the Indian Ocean.

Major Actors Involved

People's Republic of China (PRC)

The People's Republic has long been involved in the South China Sea and in the region's geopolitical interests. Chinese maritime and territorial claims in the sea have been made since the early 20th century and the PRC has maintained its claim of their claimed rights within the "nine-dash line", which are disputed by other coastal states. China has also been one of the world's most important destinations for oil subject to foreign sanctions from States, such as Iran and Russia, as these countries are important Chinese diplomatic allies. China started importing great amounts of petroleum from Russian dark fleets after the start of the war in Ukraine and the massive international sanctions on Russian exports. The same tactic has been applied to Iranian sanctioned oil. Chinese authorities dispute the extraterritorial application of some foreign sanctions.

Malaysia

Malaysia sits at a peculiar geographical location in the South China Sea. They are the international hub for illicit oil transports, as many vessels travelling towards China pass through the Strait of Malacca, one of the busiest maritime points in the world. Malaysian authorities have made recent attempts at capturing vessels transporting sanctioned oil near their territorial waters. Despite recent efforts, Malaysia has released certain sanctioned vessels and transports have dramatically increased since the start of the war in Iran, likely because of Iranian illicit oil transports.

Russia

Russia has an extended history with sanctions evasions and since the start of their war against Ukraine, such operations have increased dramatically. Russian illicit oil exports mostly arrive in Asia and in particular, China and India, at a discount from original prices. Russian dark fleets are transporting sanctioned oil mostly through the Northern trade routes and Southern ones, starting from St. Petersburg, they sail around the European Peninsula until they enter the Mediterranean Sea. From there, they pass the Suez and the Indian ocean to arrive at the PRC.

United States

The United States has implemented an array of sanctions against state's, such as Russia's and Iran's oil exports in order to weaken the internal economies, as a reaction to recent geopolitical actions. US sanctions against Russia aim at the withdrawal of Russian armed forces from Ukraine and an end to the war. Since the war in Iran and the blockade of the Strait of Hormuz, the US has implemented multiple measures in order to reduce Iranian state revenues, and thus, weaken Iran's retaliatory capabilities against the US. Under Presidents Joe Biden and Donald Trump, multiple sanctions have been implemented against shadow fleets and ships transporting internationally sanctioned oil to China from America's adversaries. Most recently, on the 24th of August 2026, US treasury Secretary Scott Bessentt announced an economic D- Day and the implementation of secondary sanctions on entities tied to Iran or assisting Iran in any way, if they do not cease relevant operations.

Iran

The Iranian oil sector has been found under increasing pressure from American sanctions, military actions and a blockade of the Strait of Hormuz, where Iranian oil commercial exports pass through. Tehran has extensively used Iran's shadow fleet to evade such trade restrictions and export its oil, mostly to China, a close geopolitical partner of Iran. Iranian dark fleet tankers may attempt to conceal their movements or cargo origins, from the Strait of Hormuz, through the Indian Ocean and strait of Malacca and arrive in China, ready to sell their cargo.

European Union

The European Union addresses illicit oil transfers through the South China sea, mostly in regards to Russian sanctions evasion. Since the start of the war in Ukraine, the EU has imposed harsh sanctions on Russian energy exports in order to deprive the Kremlin of one of its most important revenue sources and decrease Russian capabilities to wage armed conflict in Eastern Europe. They have further imposed sanctions on various vessels of Russia's shadow fleet in an effort for proper enforcement of the sanction's regime against Russia.

UN Documents and International Agreements

JCPOA

The Iran nuclear deal was a non- legally binding agreement between Iran and the five permanent members of the UNSC, Germany and the European Union, concluded on 14 July 2015 in an attempt to resolve the nuclear- related diplomatic escalations with Iran and the rest of the international community. The deal provided sanctions relief to the Iranian state, against Iranian commitments to restrict and monitor specified nuclear activities and allowing for monitoring and verification by the International Atomic Energy Agency (IAEA), intended purely for civilian use. Once the US withdrew from the Agreement, US participation ended, but the agreement and its other participants did not automatically cease to exist. The reimposition of US sanctions after its withdrawal from the JCPOA led to a great rise in Iran's shadow fleet. The fleet started to export internationally sanctioned oil to one of Iran's closest allies, the PRC. The increased diplomatic tension between the US and Iran in the post- JVPOA era partially contributed to the 2026 war in Iran.

The Hazardous and Noxious Substances (HNS) Convention

The 2010 Protocol amended the 1996 International Convention on Liability and Compensation for Damage in Connection with the Carriage of Hazardous and Noxious Substances by Sea and establishes liability and compensation arrangements for damage involving hazardous and noxious substances transported by sea. The convention is set to enter into force on 29 November 2027 and will be implemented by contracting states rather than directly enforced by the IMO. The Convention establishes a system of shipowner liability, compulsory insurance and compensation for qualifying incidents. The IMO has expressed its concern with illicit oil transfers and their hazardous impact in the sea due to the increased danger of leaks, as the ships are not properly monitored or examined beforehand.

Previous Attempts to Solve the issue

US sanctions

Due to diplomatic escalations between the US and Iran since the collapse of the Iran nuclear deal in 2018 multiple sanctions have been implemented against Iran's oil sector, which comprises an important source of state revenue. The Biden administration imposed various sanctions against Iranian vessels transporting illicit oil to China, in an effort to properly enforce international sanctions. Under the Trump administration and since the start of the war in Iran, the US has made increasing efforts to reduce Iranian state revenue through targeting od third- parties that assist the Iranian state in sanctions evasion. The US Treasury Secretary has further announced that the US will be targeting entities, such as banks and countries, with secondary sanctions if they do not cease operations with the Iranian state.

International Maritime Organization efforts

The International Maritime Organization has made efforts to persuade countries to actively tackle internationally sanctioned oil transportation by dark fleets. The IMO underlines the environmental damage that unregulated oil tankers can bring to maritime life if a spillover of oil is to occur. Most recently, oil from an aging Russian shadow fleet ship has spilled just outside of Omani waters and the IMO is monitoring the situation closely. Furthermore, the IMO passed, in 2023, a resolution encouraging nations to tackle the problem of shadow fleets and outlining measures with which to proceed if one is captured. While the resolution is not legally binding, it represents the growth and importance of the problem, as it was an important IMO response to the risks associated with these operations. Further discussion about the topic occurred at meetings of the IMO Legal Committee.

Possible Solutions

Embargos by NATO or CSTO

Various states have been suspected of evading international sanctions with their dark fleet and transporting illicit oil to China through the South China Sea. As a countermeasure, states could consider coordinated maritime sanctions enforcement consistent with flag-state jurisdiction, coastal-state rights and applicable international law. The maritime security forces of volunteer member states of those organizations will be charged with proper monitoring of the sea borders of the targeted country and intercept any possible shadow fleet vessels. This policy could face backlash from the Russian delegation, as they would find themselves in a weakened geopolitical position with NATO maritime security ships surrounding St. Petersburg or Crimea, an important Russian naval point in the Black Sea.

International maritime monitoring in the South China Sea

Member States could, with an appropriate legal mandate and coastal-state cooperation, establish a maritime monitoring operation in the South China Sea, concerning the transport of internationally sanctioned oil. The monitoring operation could consist of security forces and vessels from volunteering countries. The monitoring operation could track suspected sanctions evasion but could not automatically intercept foreign-flagged ships and vessels of shadow fleets that pass through the South China Sea. The operation could also be deployed into vital trading ports and areas, such as the Malacca strait or the strait of Singapore. Any such action will face great opposition from China, which tries to assert its geopolitical influence over the Nine- Dash Line. Though, any operation within Singaporean or Malaysian territorial waters would require a valid legal basis and respect for coastal-state sovereignty. Compliance of any UN member state for the deployment of such force would be needed.

International Investigations

ECOSOC could recommend the creation of an investigatory body with the goal of detecting shadow fleet oil tankers and operations across the South China Sea, as well as the area of home operations of such fleets. The body could cooperate with competent national authorities and INTERPOL and investigative journalists to identify the tankers and persons operating them. After the body had identified vessels and common areas of operations, relevant states could consider lawful targeted sanctions against identified vessels or operators.

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